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Taiwan | Asia Pacific

Still Riding the AI Super-cycle

We raise growth and inflation forecasts amid unabated global demand for AI applications. We see resilient growth through 2027, fueled by strong tech exports and a government policy boost for consumption. An above-target inflation trajectory likely sets the stage for a CBC rate hike in 4Q26.

Key Takeaways

- We see Taiwan's economy growing 11.5% in 2026 and 7.6% in 2027, significantly higher than our previous forecasts of 8.9% and 4.7%.
- Robust exports, investment activity and a consumption rebound all contribute to our higher forecasts.
- CPI inflation should remain slightly above-target through 2027. Both headline and core inflation remain in the low 2% range, but above the target level.
- We bring our CBC rate hike call forward by a quarter. We now expect tightening in 4Q26 and 2Q27, to a terminal rate of 2.25%.
- 2027 government budget proposed to a record-large spending of NT\$3.93tn; key priorities included defense, social welfare, and consumption stimulus.

Taiwan's growth backdrop presents striking resilience: Driven by an AI and semiconductor super-cycle that is now broadening into domestic investment and consumption, we are raising our GDP growth forecasts to 11.5% in 2026 (from 8.9%) and 7.6% in 2027 (from 4.7%).

Meanwhile, inflation has crossed the above-target alert threshold: Amid higher oil prices and a consumption recovery, we expect Taiwan's headline CPI inflation to hover above-target at 2.1% in 2026 and 2.2% in 2027. The recent NT\$10,000 per eligible person cash handout announced by President Lai for 2027 adds a further demand-side impulse that convinces us to expect above-target inflation next year.

We bring forward the expected timing of the CBC's first rate hike by a quarter: We now see the first hike in 4Q26, to 2.125%, with the terminal rate of 2.25% being reached in 2Q27. The local housing market is deliberately being cooled through credit controls and supply-side policy. Thus, we see a limited additional number of hikes but just an earlier start to contain inflation and see CBC maintaining higher rates for longer.

2027 budget approval could add upside risk: Cabinet approved the 2027 central government budget draft on August 21, 2026, with the proposal to be submitted to the Legislative Yuan for review by the end of August. Total central government spending is set at approximately NT\$3.93tn, higher than NT\$3.46tn in 2026. The budget is structured around three strategic priorities: defense, social welfare, and consumption stimulus.

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Robust GDP Growth Pushing to a 40-year High

Economy to expand 11.6% in 2026, the highest since 1987

We turn even more upbeat on Taiwan amid tailwinds for external and domestic

demand activity: Taiwan's economy is in the midst of one of its strongest growth periods in decades. Growth has been driven by robust AI-driven tech exports, accelerating capex, and a consumption recovery.

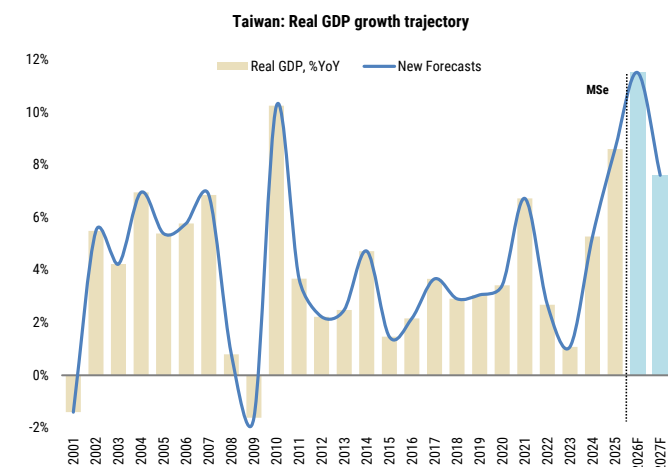
We now forecast GDP growth of 11.6% this year and 7.5% next year. This reflects stronger-than-expected 1H26 growth: GDP expanded 15.43%Y in 1Q26 and 12.92%Y in 2Q26 – i.e., 14.15%Y in 1H26. We attribute the upgrade to robust global AI demand driving stronger-than-expected exports, investment, and consumption. We project exports to grow 20.7% in 2026, with private investment increasing 17.7% and private consumption growing 3.2%.

Along with the broadening recovery across both external and domestic demand, we see export-driven capex activity accelerating and service-sector employment recovery supporting consumption this year. The recent second round of universal cash handouts announced by President Lai is providing an additional consumption tailwind into next year.

Exceptional AI-driven export growth momentum

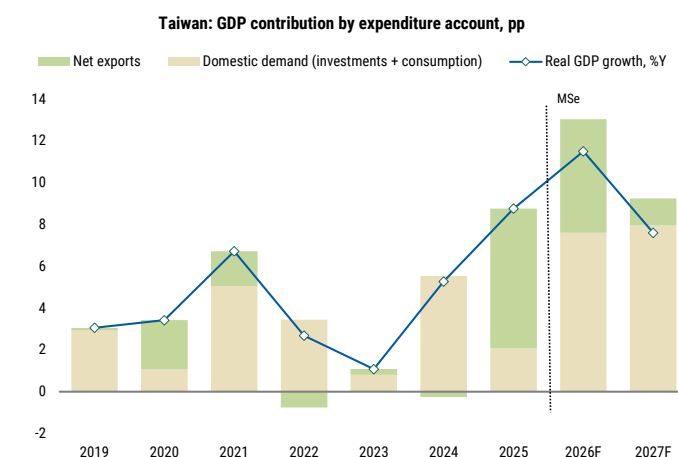
Taiwan's export momentum has remained exceptionally strong throughout 2026, underpinned by surging global demand for AI infrastructure, semiconductors, and ICT products. In the first seven months of 2026, exports rose 44.7%Y, marking the 33rd consecutive month of YoY growth, led by strong ICs, electronic components, and ICT & audiovisual products exports. In July alone, customs exports rose 32.9%Y with export orders rising 61.9%Y to a record US\$97.9bn in July (see [Taiwan: July Trade](#)). This bodes well for strong momentum going into 2H – we forecast export shipments to maintain solid double-digit growth of 13%, following a surge of 28% in 1H26.

Exhibit 1: We see Taiwan growing 11.5% in 2026, the highest in four decades...



Source: DGBAS, Morgan Stanley Research forecasts

Exhibit 2: ...led by a broadening recovery across both external and domestic demand

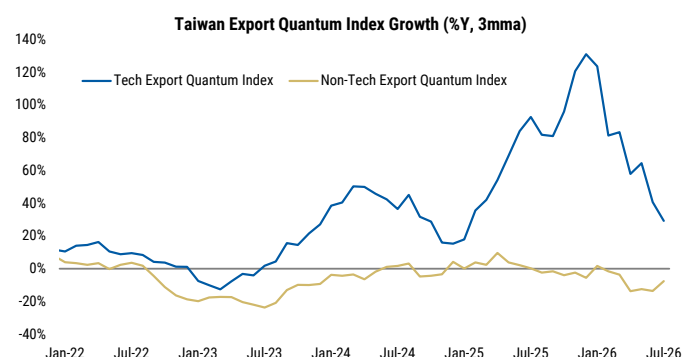


Source: DGBAS, Morgan Stanley Research forecasts

Importantly, the composition of exports remains led firmly by tech, for which we hold an upbeat outlook: Taiwan's ICT and audiovisual exports reaccelerated sharply in 1H26 after some stabilization in recent months. However, they may slow in 2H26, though we see little evidence of a weakening semiconductor cycle. Though headline semiconductor export volume growth likely peaked at end-2025 and may be facing more challenging base effects in 2H26, the slowdown in ICT exports appears more consistent with base effects and shipment timing than a material downturn. Imports have continued to outpace exports, reflecting strong component demand and semiconductor capex, even as the sequential decline in energy and equipment imports helped widen the trade surplus.

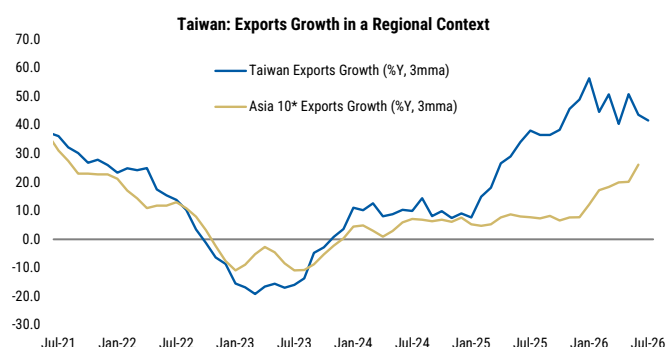
We expect tech shipments to remain solid, with upside risks tied to sustained AI capex and higher advanced chip content. As a result, we expect the contribution to growth from real exports to moderate in 2H, while higher advanced chip content, resilient nominal exports, and stronger domestic investment allowing the AI cycle to continue supporting above-trend growth.

Exhibit 3: Tech export volume growth trend has shown a drag from unfavorable base effect after peaking in December 2025



Source: Ministry of Finance, Haver, Morgan Stanley Research

Exhibit 4: AI-led exports have outperformed the broader Asian region, and the gap remains wide despite recent normalization



Source: National Statistical Agencies, Haver, Morgan Stanley Research Note: Data only until June as few countries have not reported July data

Investments benefiting from tech exports

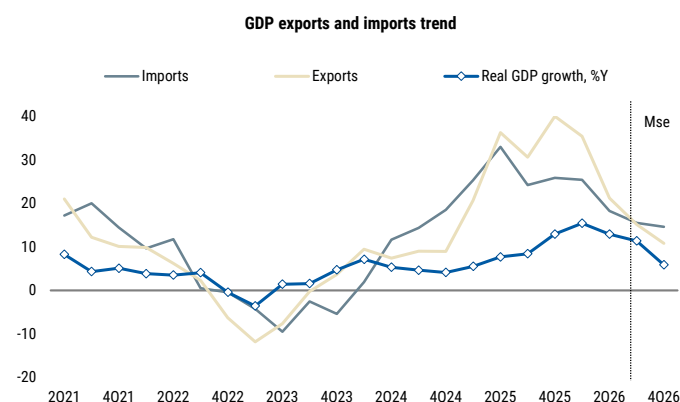
Benefiting from strong chip exports, fixed investment has emerged as a key second pillar of Taiwan's growth story. Gross capital formation contributed 4.03ppt to 2Q GDP growth, making it the second-largest contributor after net exports. We expect real gross capital formation to accelerate to 23%Y in 2H26 from 12% in 1H26. Capex activity is set to accelerate sharply, driven by investments in machinery, equipment, and construction activities – signaling growing corporate confidence in sustaining production capacity. Through 2027, we see investment broadening the expansion beyond the trade sector. We attribute the strong investment growth to expanding demand for AI and high-performance computing, leading to increased capital expenditure in the semiconductor industry and related supply chains.

Historically, exports lead Taiwan's investments by about two quarters. Along with exports surging in 1H26, the 41.33%Y import growth across capital equipment imports and the 29.41% increase in semiconductor equipment imports showed that investment activity is benefiting from strong exports. The manufacturing production index for investment goods surged 67.22%Y over the same period.

TSMC, which is the single largest contributor to Taiwan's investment cycle, has also guided

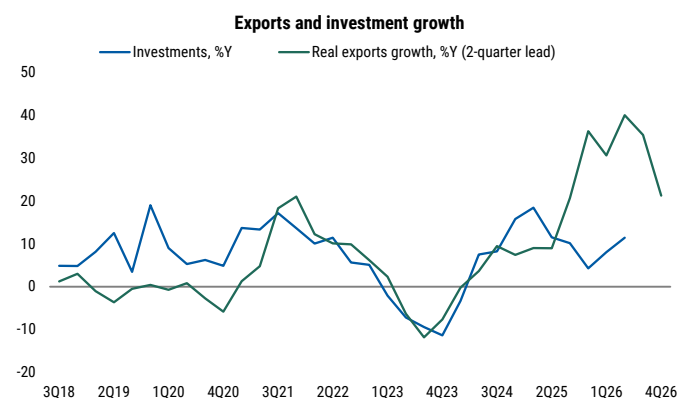
for an upward trend in its capex trajectory in 2026. In its 2Q26 earnings release, capex was raised to USD60-64bn from USD56bn, reflecting continued strong structural demand from AI and agentic AI customers, as well as some equipment cost inflation. The company has raised its capex budget multiple times. Our Greater China Semis analyst, Charlie Chan, estimates TSMC's 2026-28 capex at USD213bn, up from USD206bn (see: [TSMC: Aggressive capex to address stronger AI demand; OW](#)). TSMC is simultaneously building 13 leading-edge and advanced packaging fabs in Taiwan over the next several years, which presents even more upside to our forecast.

Exhibit 5: Real exports to slow, reflecting base effect, yet we expect a double-digit growth trend through 2026r



Source: DGBAS, Morgan Stanley Research forecasts

Exhibit 6: Strong exports to lead fixed investment activities – historically we see a two-quarter lead by exports



Source: DGBAS, Morgan Stanley Research forecasts

Service industry recovery and policy boost to support consumption

Private consumption has emerged as a meaningful growth engine for Taiwan's domestic growth story:

What has surprised us most in this year's GDP tracking has been the solid recovery in private consumption. In 1H26, private consumption grew 5.38%Y, accelerating from 3.45% in 4Q25, driven by heavy spending on communications, entertainment, and outbound tourism, supported by income tax adjustments, vehicle replacement tax incentives, and some wealth effect from the rising stock market.

Consumer confidence has rebounded thanks to resilient local equity market performance, supporting key goods consumption: Taiwan's Consumer Confidence Index recovered to a four-month high of 65.05 in June from a three-year low of 62.08 in May, though all six sub-indices remain below 100, indicating that consumers are still generally cautious. Retail trade YTD has rebounded to approximately 3.5% from -1.3% in 2025. Items with the highest correlation to durable goods — electronics, communication devices, and autos — have been recovering notably. In 1H26, electronics and communication devices sales jumped 7.8%, food and beverages rose 5.8%, and cultural and recreational goods purchases increased 6.5%. In June alone, Taiwan's retail auto sales jumped 19%Y after five consecutive months of deceleration.

Fueled by this consumption rebound, services industry performance has picked up

notably: In 1H26, Taiwan's services industry grew 13%Y, above its three-year trend of 9.0%. In particular, wholesale and retail trade expanded 25.6%, while accommodation and food services posted a 6.2% rebound. Financial services and insurance activities surged 27%, reflecting increased securities transactions and investment activity.

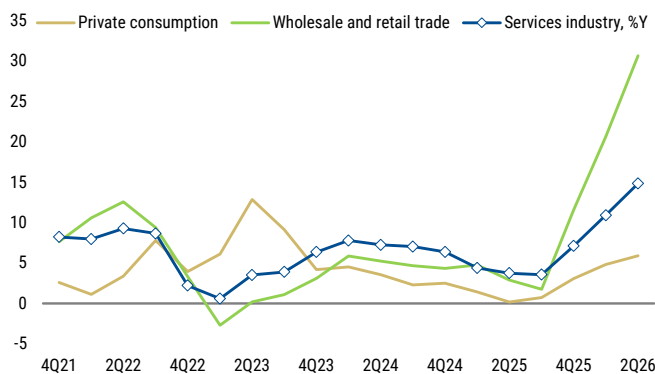
This strength in the services sector has resulted in a strong surge in services sector employment conditions. The services sector employment rate reached 59.2% in June 2026, the highest in two years, whilst industrial sector employment (manufacturing mostly) has trended down to 33.6%. This divergence in the number of employees in each sector indicates a notable pickup in labor-intensive services sector activity, as well as widening effect of higher household income spillover – a positive sign for domestic demand.

Last, we see a tailwind to consumption from the government's policy support, which can add up to 30bp to GDP growth: The continued fiscal stimulus should sustain this recovery momentum. On August 17, President Lai announced a second round of cash handouts to boost domestic sentiment and consumption. This follows the first round of cash handouts from November 2025 through May 2026 (NT\$10,000 per head). The proposed equivalent amount of support should provide a meaningful tailwind to consumption growth into 2027.

Against this backdrop, we forecast private consumption growth to remain above the 3% mark through next year, at 3.2% in 2026 and 3.1% in 2027, significantly above the 1.4% recorded in 2025.

Exhibit 7: Services industry activity has picked up notably

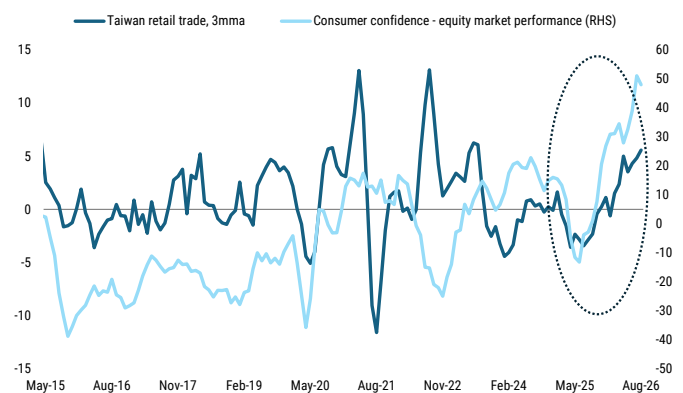
GDP: private consumption and service industry trend



Source: DGBAS, Morgan Stanley Research

Exhibit 8: Consumer confidence rose along with the rising stock market

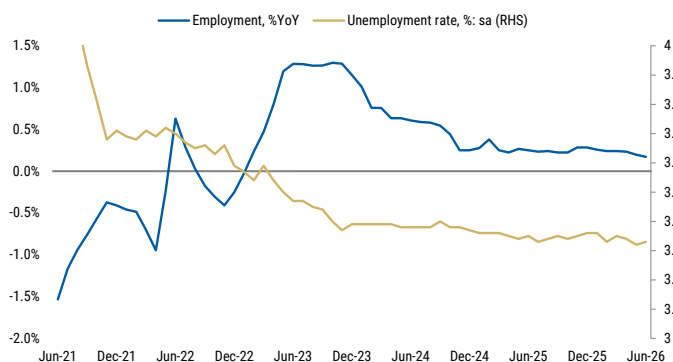
Retail trade and consumer confidence



Source: DGBAS, Morgan Stanley Research

Exhibit 9: Unemployment rate stable in the 3.2-3.3% range

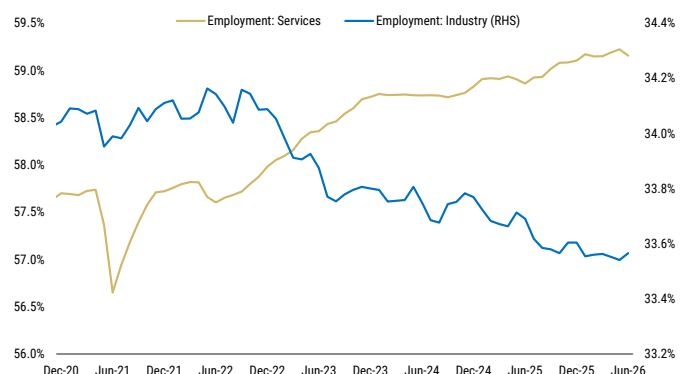
Trends in employment



Source: DGBAS, Morgan Stanley Research

Exhibit 10: Service sector employment recovery is notable

% of employment by sector



Source: DGBAS, Morgan Stanley Research

Inflation Is Above the CBC's 2% Alert Threshold, Influencing Monetary Policy

Inflation has firmed materially and is now running above target

Amid higher oil prices and consumption recovery, we expect Taiwan's headline CPI inflation to hover above target at 2.1% for 2026 and 2.2% for 2027. The recent NT \$10,000/head cash handout announced by President Lai for 2027 adds a further demand-side impulse that convinces us to expect stronger inflation next year. The latest CPI inflation rate eased marginally to 2.54% in July 2026 from 2.59% in June. Though core inflation decreased to 2.38% in July from 2.44% in June, inflation in June was at a 17-month high, driven by a surge in fuel prices (fuels and lubricants up 19.45%Y), higher airfares from fuel surcharges, and weather-related food price increases.

We raise our forecasts of Taiwan's inflation to 2.1% for 2026 and 2.2% for 2027, above the CBC's 2% alert threshold: We see this being driven by adverse weather pushing up food prices, rising tech product prices amid the AI boom, and higher fuel prices. We expect inflationary pressures to remain at a marginally stronger level, given sustained consumption recovery and higher wage expectations. The CBC also raised its own 2026 forecasts – CPI to 1.93% and core CPI to 1.92% – after 2Q26 inflation came in above expectations: CPI rose 2.17% YoY, exceeding the CBC's 2.10% forecast, while core CPI rose 2.15%, above the prior estimate of 2.06%. The CBC noted that government price stabilization measures kept 1H26 inflation at 1.7%, below the 2% alert threshold, and expects price pressures to remain contained in 2H26 as crude oil prices ease.

CBC rate path – we bring our projected timing of the first rate hike forward to 4Q26

- We see the CBC raising rates twice this time, starting in 4Q26, a quarter earlier than we previously forecast.
- We are also bringing forward our call for the timing of the second CBC rate hike to 2Q27 (our prior forecast was 3Q27), with a terminal rate of 2.25%.

This path is driven by persistent above-target inflation, a materially positive output gap, and the forward demand impulse from the NT\$10,000/head cash handout. Governor Yang signaled in June 2026 that a pre-emptive rate increase could be warranted if inflation is expected to remain above 2% over the next six months. He noted that early action could help contain inflation expectations and reduce the need for more aggressive tightening later.

The CBC has maintained its benchmark discount rate at 2.00% since March 2024. Inflation has persisted above-target – 2Q26 CPI of 2.17% and June CPI of 2.60% have both exceeded the CBC's 2% threshold. Thus, Governor Yang has explicitly flagged pre-emptive action as a possibility.

With 1H26 growth averaging ~14%Y against a potential growth rate in the mid-3% area, the output gap has turned sharply positive — creating a more durable inflationary backdrop than the CBC's prior base case assumption.

Last, the universal cash handout provides a demand impulse: President Lai's announcement of another NT\$10,000/head handout for 2027 (total budget: NT\$235.7bn) adds a fiscal demand impulse that the CBC will need to factor into its inflation projections, reinforcing the case for earlier action.

2027 Budget Proposal May Add Upside Pressure

We see further upside risk for next year's growth on the back of record-high 2027 budget spending. Taiwan's Cabinet approved the 2027 central government budget on August 21, 2026, with the proposal to be submitted to the Legislative Yuan for review by the end of August. Total central government spending is set at approximately NT\$3.93tn, with estimated revenue also at NT\$3.93tn, aiming to avoid new borrowing. This is a significant increase from 2026 original proposal of NT\$2.86tn and final spending of NT\$3.46tn. The budget is structured around priorities across social welfare expansion, domestic consumption stimulus, and defense, all underpinned by Taiwan's AI-driven economic boom.

The largest spending category was social welfare, with the spending budget of NT\$1.19tn, +41.1%Y. Key items included increases in the national pension program, labor insurance fund, and the national health insurance fund. Along this line, the government ramped up funding for the Population Strategy initiative aimed at reversing Taiwan's low birth rate. The allocation of NT\$329.5bn, was a 147.8% increase from 2026, the fastest-growing budget item. This includes a proposed monthly cash handout of NT\$5,000 for children aged 0-17,

On the consumption side, the government plans to execute a second round-cash handout program. The government set aside NT\$235.7bn to provide a NT\$10,000 cash payment to each resident in 2027 to sustain domestic consumption momentum. This follows the first round of cash handouts from November 2025 through May 2026 (also NT\$10,000 per head). We believe this could add 30bp to next year's GDP growth, if approved.

Lastly, defense spending looks set for rapid expansion. The Cabinet approved a total defense allocation of NT\$1.12tn, equivalent to 3.01% of GDP, +17% from 2026. The spending includes funding for military modernization, drones, missiles, and other asymmetric warfare capabilities. President Lai aims to raise defense spending to 5% of GDP by 2030.

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